



ANALYSING REFURBISHED TECH WAVE

EXPERT INSIGHTS FROM COUNTERPOINT RESEARCH'S
GLEN CARDOZA, DELVING INTO THE CHANGING
DYNAMICS OF INDIA'S REFURBISHED TECH LANDSCAPE

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Q What is the projected growth rate for the refurbished gadget market in India?

A The Indian refurbished market had a steady growth rate until 2019 and then it witnessed a spike. The COVID-19 situation and resultant economic decline forced many consumers to consider refurbished. Awareness increased and players started providing quality devices which improved the trust in second-hand devices. While 2020-23 saw impressive growth for the secondary markets in India, 2024-26 might see limited growth for this sector as the market is now getting crowded.

Q What is the market share distribution among organised and unorganised players?

A The unorganised refurbished smartphone market makes up about 82% of the overall industry in India. The organised retail players like Cashify, Refit, HXcart and even e-platforms like Amazon are trying to assimilate vol-

umes from the unorganised sector into their value chain but this will take time.

Q Which product categories dominate the refurbished market in India?

A Smartphones are the most collected and resold consumer devices in the secondary market. The demand is highest for smartphones as it has become a necessity to most consumers. They are smaller, easier to stock and distribute. Hence, they get traded more often between businesses. Even though refurbishment players might deal with phones, laptops, hearables, wearables and many other categories, smartphones make up the largest category. In India, refurbished laptops witnessed a spike during and post Covid (2020-22) but this demand is slowing down now.

Q What is the role of AI in the refurbished gadget market?

A AI is currently being used in processes like data erasure, quality check, testing and grading processes by relatively big diagnostic players in the west. A select few businesses are using it in India as well. Overall cosmetic and functional checks can identify defects. Utilisation of AI is still in nascent stages when it comes to overall end-to-

end diagnostics in India but as volumes increase, organised businesses are not only using AI as a part of their operations but also marketing its usefulness to increase consumer trust.

Big global players who specialise in trading refurbished smartphones across markets have seen AI's benefits. In India, as volumes increase, the efficiency and accuracy will increase.

Q How are government policies influencing the growth of the refurbished gadget market?

A Over the last few years, the government's initiatives towards refurbished devices are mostly aimed towards welfare of consumers. The government is trying to reduce parallel imports, restrict counterfeit phones and components while making sure that IMEI numbers are being registered properly. These are mostly consumer-centric initiatives.

Import of used or refurbished devices are still highly restricted in India and so supply needs to be sourced domestically. The secondary markets need some policy level changes to not only make it easier to do business but also, make standards and guidelines for industry players to grow the market in a sustainable manner. This will tie in perfectly with circular economy objectives as well. ■